

CAMS Domain A

Hard Concepts & Exam Traps

Advanced Explanations for Difficult Topics

VASP ð Crypto ð FATF Recommendations ð Sanctions ð DORA
Investment Banking ð Wealth Management ð PSP ð OSINT ð KYC
Trust Companies ð Data Governance ð Post-Acquisition Integration

VASP & FATF Recommendation 15 Complete Breakdown

What is a VASP?

Virtual Asset Service Provider any natural/legal person conducting **one or more** of:

- ▶ Exchange between virtual assets and fiat currencies
- ▶ Exchange between one or more forms of virtual assets
- ▶ Transfer of virtual assets (on behalf of another)
- ▶ Safekeeping/administration of virtual assets
- ▶ Participation in financial services related to issuer offers/sale of VAs

FATF Rec 15 Requirements

- ▶ **Licensing/Registration:** VASPs must be licensed or registered in all jurisdictions
- ▶ **AML/CFT Obligations:** Same as traditional FIs (CDD, EDD, record-keeping, SARs)
- ▶ **Travel Rule (Rec 16):** Originator/beneficiary info for all VA transfers
- ▶ **Sanctions Screening:** Must screen all wallet addresses against sanctions lists
- ▶ **Risk Assessment:** Must assess ML/TF risks of VA products/services

EXAM TRAP: Common Exam Trap: Rec 15 = **VASP framework**. Rec 16 = **Travel Rule**. Many candidates confuse these!

REMEMBER: Rec 15 is the **foundational** requirement for VASPs without it, no VASP can legally operate.

Cryptocurrency AML Advanced Concepts

Key Crypto ML/TF Risks

Risk Factor	Explanation
Pseudonymity	Wallet addresses are not directly linked to real identities
Decentralized Exchanges	No KYC required; rapid token swaps obscure source/destination
Privacy Coins	Monero, Zcash transactions are fully anonymous
Mixers/Tumblers	Combine funds from multiple sources to obscure origin
NFTs	Art can be used for layering via wash trading
DeFi Protocols	No central authority; lending/borrowing without KYC

Crypto Compliance Toolkit

- ▶ **Blockchain Analytics:** Chainalysis, Elliptic, CipherTrace trace on-chain activity
- ▶ **Entity Resolution:** Link wallet addresses to real-world entities
- ▶ **Wallet Clustering:** Group related wallets to identify entities
- ▶ **Real-time Screening:** Screen transactions against sanctions lists
- ▶ **Travel Rule Compliance:** Share originator/beneficiary info for transfers > \$1,000

EXAM TRAP: Exam Trap: Centralized exchanges obscure source/destination actually, **decentralized** exchanges do this. Centralized exchanges require KYC.

Crypto Sanctions Screening Complete Guide

Core Requirements

- ▶ **OFAC Compliance:** Must screen all crypto transactions against SDN List
- ▶ **UN Sanctions:** Must screen against UN Security Council sanctions
- ▶ **EU Sanctions:** Must comply with EU restrictive measures
- ▶ **FATF Rec 7:** Targeted financial sanctions for TF and proliferation financing
- ▶ **50% Rule:** Applies to crypto entities if 50%+ owned by sanctioned entity, it's blocked

Technical Implementation

- ▶ **On-Chain Screening:** Screen wallet addresses in real-time using blockchain analytics
- ▶ **Off-Chain Screening:** Screen counterparty identity info (name, DOB, address)
- ▶ **Entity Resolution:** Link on-chain addresses to off-chain risk data
- ▶ **Travel Rule:** FATF Rec 16 requires originator/beneficiary info transfer
- ▶ **Sanctions Evasion Detection:** Monitor for use of mixers, privacy coins, and cross-chain bridges

REMEMBER: Key Rule: Sanctions are **strict liability** no intent required. If you process a transaction with a sanctioned entity, you're liable.

EXAM TRAP: Exam Trap: Only screen fiat transactions crypto transactions **must** be screened too.

FATF Recommendations Hard-to-Remember Ones

Critical Recs for CAMS Exam

Rec	Title	Key Requirement
Rec 1	Risk-Based Approach	Assess ML/TF risks; apply proportionate measures
Rec 6	Targeted Financial Sanctions (TF)	Freeze assets of designated terrorists
Rec 7	Targeted Financial Sanctions (PF)	Freeze assets of proliferation financiers
Rec 10	Customer Due Diligence	Identify and verify customer identity
Rec 12	PEPs	Apply EDD to foreign PEPs; domestic PEPs risk-based
Rec 15	New Technologies	VASP licensing and AML obligations
Rec 16	Travel Rule	Originator/beneficiary info for wire transfers
Rec 17	Third-Party Reliance	May rely on third parties for CDD (with conditions)
Rec 18	Internal Controls	Group-wide AML programs for all branches/subsidiaries
Rec 19	High-Risk Countries	Apply EDD for FATF black/grey-listed countries
Rec 20	Suspicious Transaction Reporting	File STRs for suspicious activity
Rec 22	DNFBPs	Casinos, real estate, lawyers, accountants, TCSPs
Rec 24	Beneficial Ownership (Legal Persons)	Identify and verify UBOs
Rec 25	Beneficial Ownership (Legal Arrangements)	Trusts: identify settlor, trustee, protector, beneficiaries
Rec 35	Sanctions	Administrative sanctions for non-compliance
Rec 36	Mutual Legal Assistance	International cooperation for investigations
Rec 40	International Cooperation	FIU-to-FIU information sharing

REMEMBER: Rec 15 = VASP. Rec 16 = Travel Rule. Rec 17 = Third-party CDD. Rec 24/25 = Beneficial Ownership.

FATF Grey List Remediation Complete Process

What is the Grey List?

Jurisdictions under **increased monitoring** committed to resolving strategic AML/CFT deficiencies.

Remediation Steps (Must-Know Order)

1. **Identify Strategic Deficiencies:** FATF publishes specific deficiencies (e.g., weak supervision, BO transparency)
2. **Develop Action Plan:** Country submits high-level political commitment to FATF
3. **Enact Legislation:** Pass laws to address deficiencies (e.g., AML Act amendments)
4. **Strengthen Supervision:** Improve oversight of FIs and DNFBPs
5. **Enhance BO Transparency:** Implement BO registers and verification systems
6. **Increase Enforcement:** Apply sanctions for non-compliance; prosecute ML cases
7. **Show Effectiveness:** Demonstrate that measures are producing results
8. **On-Site Visit:** FATF team visits to verify implementation
9. **Removal:** FATF votes to remove from grey list

Consequences of Grey List Status

- ▶ **EDD Required:** Rec 19 enhanced due diligence for transactions involving grey-listed countries
- ▶ **Reputational Risk:** Negative perception in financial markets
- ▶ **Correspondent Banking:** Banks may terminate relationships
- ▶ **Investment:** Reduced foreign direct investment

EXAM TRAP: Exam Trap: Grey list = black list **NO**. Grey = increased monitoring; Black = call for action. Different consequences!

Black List vs Grey List Critical Distinction

Comparison Table

Factor	Black List (Call for Action)	Grey List (Increased Monitoring)
Definition	Jurisdictions with serious strategic AML/CFT deficiencies	Jurisdictions committed to resolving deficiencies
Consequence	Strong countermeasures recommended	Enhanced due diligence (EDD) required
FATF Action	Call for action all members apply countermeasures	Increased monitoring progress reports required
Removal Process	Must address ALL deficiencies; on-site visit	Progress report; may be removed when deficiencies addressed
Examples	Iran, North Korea	Nigeria, South Africa, UAE, Turkey
Rec Reference	Rec 19 (High-Risk Countries)	Rec 19 (High-Risk Countries)

REMEMBER: Black List = Countermeasures (strong sanctions). Grey List = EDD (enhanced due diligence).

EXAM TRAP: Common Error: Both lists require the same level of due diligence **NO**. Black list requires **countermeasures**, not just EDD.

Investment Banking AML Hard Concepts

Key ML Risks in Investment Banking

- ▶ **Complex Products:** Derivatives, structured products, OTC instruments
- ▶ **High-Value Transactions:** Large trades can move significant funds quickly
- ▶ **Cross-Border:** Multiple jurisdictions, counterparties, and clearing systems
- ▶ **Speed:** Trades execute in milliseconds; monitoring must keep up
- ▶ **Anonymity:** Some products can obscure beneficial ownership

Red Flags Specific to Investment Banking

- ▶ **Sudden Business Changes:** Client shifts from low-margin to high-return instruments via unfamiliar subsidiary
- ▶ **Unusual Trade Patterns:** Wash trading, round-trip transactions, cross-trading
- ▶ **Complex Ownership:** Multiple layers, offshore jurisdictions, nominee companies
- ▶ **Unusual Counterparties:** Transactions with entities in high-risk jurisdictions
- ▶ **Market Manipulation:** Pump-and-dump, spoofing, layering of orders

Correct Response to Red Flags

- ▶ **Escalate Internally:** Report to compliance team for investigation
- ▶ **Request Documentation:** Obtain beneficial ownership, financial statements, business rationale
- ▶ **Conduct EDD:** Enhanced due diligence on counterparties and subsidiaries
- ▶ **File SAR/STR:** If suspicious activity is confirmed

EXAM TRAP: Exam Trap: Immediately decline the client first **escalate and investigate**. De-risking without investigation is not the risk-based approach.

Core ML Vulnerabilities in Wealth Management

- ▶ **Discretion:** Relationship managers may have high autonomy, bypassing controls
- ▶ **Complex Structures:** Trusts, foundations, offshore companies, nominee arrangements
- ▶ **High-Value Clients:** HNWI with complex financial structures
- ▶ **Cross-Border:** Multiple jurisdictions, asset classes, and currencies
- ▶ **Confidentiality:** Client expectations of privacy can be abused

High-Risk Features (Select Three) CAMS Exam Favorite

1. **Minimum Assets Requirement:** Attracts HNWI with complex structures
2. **Offering Numbered Accounts:** Reduces transparency; conceals identity
3. **Dedicated Relationship Service with Transaction Discretion:** Enables circumvention of controls

Mitigations

- ▶ **EDD for HNWI and PEPs:** Source of funds, source of wealth verification
- ▶ **Independent Review:** Separate team reviews client transactions
- ▶ **Regular Training:** Relationship managers trained on red flags
- ▶ **Committee Approval:** High-risk clients require committee-level approval

EXAM TRAP: Exam Trap: Standardized online account opening is **low-risk**, not high-risk. Wealth management risk comes from **discretion and complexity**.

Portfolio Management AML Key Concepts

AML Risks in Portfolio Management

- ▶ **Discretionary Accounts:** Managers can trade without client approval risk of ML
- ▶ **Complex Products:** Derivatives, structured products, alternative investments
- ▶ **Cross-Border:** Investments in multiple jurisdictions
- ▶ **High Turnover:** Frequent trading can generate artificial profits/losses
- ▶ **Concentration Risk:** Over-concentration in high-risk assets

Red Flags for Portfolio Managers

- ▶ **Unusual Investment Strategy:** Client typically low-risk but suddenly invests in high-risk assets
- ▶ **Circular Trading:** Client buys and sells same asset through different accounts
- ▶ **Wash Trading:** Buying and selling same asset to create artificial volume
- ▶ **Unusual Redemptions:** Large, unexpected redemption requests
- ▶ **Lack of Investment Objective:** Client has no clear investment strategy

Compliance Controls

- ▶ **Pre-Trade Compliance:** Check trades against investment mandates
- ▶ **Post-Trade Monitoring:** Review all trades for suspicious patterns
- ▶ **Client Risk Assessment:** Regular review of client risk profiles
- ▶ **EDD for High-Risk Clients:** Enhanced due diligence for PEPs, HNWI

REMEMBER: Key Rule: Discretionary accounts are **higher risk** because the manager can trade without client approval.

PSP AML Complete Overview

What is a PSP?

Payment Service Provider entity that enables electronic payments:

- ▶ Payment processing (credit/debit cards, direct debits)
- ▶ Digital wallets (Apple Pay, Google Pay, PayPal)
- ▶ Money transfer services (Western Union, MoneyGram)
- ▶ Acquiring services (merchant payment processing)
- ▶ Payment initiation services (PSD2)

Key ML Risks for PSPs

- ▶ **High Volume:** Millions of transactions daily harder to detect patterns
- ▶ **Fast Processing:** Instant settlement less time for screening
- ▶ **Cross-Border:** Multiple jurisdictions with varying AML regimes
- ▶ **Agent Networks:** Third-party agents may have weak AML controls
- ▶ **Anonymity:** Prepaid cards, digital wallets can be anonymous

Best Practices for PSPs

- ▶ **Customize AML Policy:** Per jurisdiction and product
- ▶ **EDD for High-Risk Jurisdictions:** Apply enhanced due diligence
- ▶ **Real-Time Screening:** Screen all transactions against sanctions lists
- ▶ **Agent Oversight:** Monitor agent compliance with AML obligations
- ▶ **Transaction Monitoring:** AI/ML to detect patterns in high-volume data

EXAM TRAP: Exam Trap: Apply home-country standards everywhere **NO**. PSPs must **customize** per jurisdiction. One-size-fits-all fails.

OSINT in AML Investigations Complete Guide

What is OSINT?

Open Source Intelligence information collected from publicly available sources:

- ▶ Public records (company registers, court records)
- ▶ Media (news articles, press releases)
- ▶ Social media (LinkedIn, Facebook, Twitter)
- ▶ Websites (company websites, government sites)
- ▶ Databases (sanctions lists, PEP lists, adverse media)

OSINT in Investigations When to Use

- ▶ **Unfamiliar Entity:** Research an unknown counterparty in a sanctioned jurisdiction
- ▶ **Beneficial Ownership:** Identify UBOs when documentation is incomplete
- ▶ **Adverse Media:** Identify negative news about clients
- ▶ **PEP Status:** Confirm PEP status when not flagged by screening
- ▶ **Shell Companies:** Identify shell companies and nominee arrangements

OSINT Best Practices

- ▶ **Source Verification:** Verify the reliability of sources
- ▶ **Documentation:** Record findings and sources for audit trail
- ▶ **Privacy Compliance:** Respect data privacy laws (GDPR, CCPA)
- ▶ **Tipping Off:** Never disclose investigation to the subject

REMEMBER: Key Rule: OSINT is **critical** for investigating unfamiliar entities. Regulatory advisories are helpful, but **entity-specific research** is the most useful next step.

Core CDD Requirements (Rec 10)

1. **Identify Customer:** Name, DOB, address, identification number
2. **Verify Identity:** Using reliable, independent source documents/data
3. **Identify Beneficial Owner:** Natural person who ultimately owns/controls
4. **Verify BO Identity:** Using reliable sources
5. **Understand Business Relationship:** Purpose and intended nature
6. **Ongoing Due Diligence:** Monitor transactions and update information

CDD Timing Critical Exam Point

- ▶ **Before** establishing business relationship
- ▶ **Before** carrying out occasional transaction (threshold applies)
- ▶ **Before** carrying out suspicious transaction
- ▶ **When** doubt about previously obtained customer identification data

Simplified Due Diligence (SDD)

- ▶ **When Allowed:** Low-risk customers/products/jurisdictions
- ▶ **Not Allowed:** If there is suspicion of ML/TF
- ▶ **Not Allowed:** If customer is from high-risk jurisdiction
- ▶ **Remember:** SDD is **not zero** due diligence still must identify and verify

REMEMBER: Key Rule: CDD must be done **before** establishing relationship. Suspicion overrides SDD.

EDD Enhanced Due Diligence Complete Guide

When is EDD Required?

- ▶ **PEPs:** Foreign PEPs **mandatory**; domestic PEPs **risk-based**
- ▶ **High-Risk Customers:** From FATF black/grey-listed countries
- ▶ **High-Risk Products:** Private banking, correspondent banking, crypto
- ▶ **High-Risk Jurisdictions:** Countries with weak AML enforcement
- ▶ **Complex Ownership:** Trusts, offshore companies, nominee arrangements
- ▶ **Suspicion:** If there is suspicion of ML/TF

EDD Components MUST KNOW

1. **Source of Wealth:** How did the customer acquire their wealth?
2. **Source of Funds:** Where did the specific funds come from?
3. **Beneficial Ownership:** Identify and verify ALL UBOs (25%+)
4. **Business Purpose:** Understand the reason for the relationship
5. **Ongoing Monitoring:** Enhanced transaction monitoring
6. **Senior Approval:** Senior management approval required
7. **Regular Reviews:** More frequent reviews (e.g., annually vs. 3 years)

SOW vs SOF Critical Distinction

- ▶ **Source of Wealth:** *How* did you get your money? (e.g., inheritance, business profits)
- ▶ **Source of Funds:** *Where* did this specific money come from? (e.g., sale of property, business sale)

EXAM TRAP: Exam Trap: SOW and SOF are the same **NO**. SOW = overall wealth; SOF = specific funds for the transaction.

TCSP Trust & Company Service Providers (Rec 22)

What is a TCSP? (DNFBP)

Trust and Company Service Providers are DNFBPs under FATF Rec 22:

- ▶ Incorporation of companies
- ▶ Administration of trusts and companies
- ▶ Acting as company secretary
- ▶ Providing registered office address
- ▶ Acting as director/nominee shareholder
- ▶ Acting as trustee or protector of a trust

TCSP AML Obligations

- ▶ **CDD:** Identify and verify customers and beneficial owners (Rec 10)
- ▶ **BO Identification:** Identify natural persons who own/control (Rec 24/25)
- ▶ **Record-Keeping:** Maintain records for 5+ years
- ▶ **STR Filing:** File suspicious transaction reports
- ▶ **Internal Controls:** Implement AML program
- ▶ **Sanctions Screening:** Screen against sanctions lists

High-Risk Client Handling CAMS Exam Favorite

Scenario: Client requests confidentiality for all shareholders. Connection to high-risk industries in NRA.

Correct Response: Decline immediately unless full BO information and risk justifications are disclosed and verified.

EXAM TRAP: Exam Trap: Refer to local counsel and detach from compliance responsibility **NO**. TCSP retains compliance responsibility. Cannot outsource AML obligations.

BCBS 239 Principles for Effective Risk Data Aggregation

14 Principles banks must have:

- ▶ **Accuracy & Integrity:** Data must be correct and reliable
- ▶ **Completeness:** All data must be captured
- ▶ **Timeliness:** Data must be available when needed
- ▶ **Adaptability:** Systems must adapt to changing needs

AML Data Governance Challenges

- ▶ **Missing Identifiers:** No DOB, no tax ID, no passport number
- ▶ **Inconsistent Formats:** "US" vs "USA" vs "840" vs "United States"
- ▶ **Duplicate Profiles:** Same customer appears multiple times
- ▶ **Incomplete Data:** Missing fields in transaction monitoring
- ▶ **Data Silos:** Different systems don't share data

Data Cleansing Process CAMS Exam Favorite

1. **Removal of Duplicate Entries:** Merge duplicate customer profiles
2. **Validation of Data Accuracy:** Check formats and values
3. **Standardization:** Apply consistent formats (e.g., country codes)
4. **Enrichment:** Add missing data from external sources

REMEMBER: Key Rule: Data cleansing is **pre-requisite** for effective AML controls. Without clean data, monitoring alerts are unreliable.

Data Lineage Transparency & Auditability

What is Data Lineage?

Data lineage is the process of tracking the **flow of data** from its source to its destination:

- ▶ Where did the data come from?
- ▶ How was it transformed?
- ▶ Where is it stored?
- ▶ Who accessed it?
- ▶ When was it modified?

Data Lineage for AML CAMS Exam Favorite

What supports transparency and auditability through data lineage? (Select Two.)

1. **Maintaining history of data transformations**
2. **Capturing source of each data field**

Why Data Lineage Matters in AML

- ▶ **Regulatory Audit:** Regulators want to see where data came from
- ▶ **Model Validation:** Need to trace data inputs to models
- ▶ **Error Correction:** Trace errors back to source
- ▶ **SAR Filing:** Need to verify accuracy of reported data
- ▶ **Data Quality:** Identify and correct data quality issues

EXAM TRAP: Exam Trap: Archiving analyst notes is case documentation, **not** data lineage. Deleting outdated data undermines auditability.

Post-Acquisition AML Integration Complete Process

Scenario CAMS Exam Favorite

During post-acquisition integration, compliance team reviews merged customer databases and identifies:

- ▶ Multiple entries with inconsistent address formats
- ▶ Duplicate customer profiles
- ▶ Missing identifiers (DOB, tax ID)
- ▶ Inconsistent country codes

Correct Priority Step-by-Step

1. **Data Cleansing:** Target missing and duplicated records **immediately**
2. **Data Coverage & Gap Assessment:** Identify what data is missing
3. **Standardization:** Harmonize country codes and data formats
4. **System Integration:** Align transaction monitoring scenarios
5. **Policy Alignment:** Harmonize AML policies across merged entities
6. **Training:** Train staff on new systems and procedures

Why Data Cleansing First?

- ▶ Without clean data, you cannot:
 - ▶ Screen accurately against sanctions
 - ▶ Monitor transactions effectively
 - ▶ File accurate SARs
 - ▶ Assess risk properly

REMEMBER: Key Rule: Data cleansing is the **first** priority in post-acquisition integration. Clean data is the foundation of AML controls.

Sanctions Screening Complete Guide

What is Sanctions Screening?

Process of checking customers, transactions, and counterparties against **sanctions lists**:

- ▶ OFAC SDN List (US)
- ▶ UN Security Council Sanctions (UN)
- ▶ EU Restrictive Measures (EU)
- ▶ HM Treasury Sanctions List (UK)
- ▶ FATF High-Risk Jurisdictions (Black/Grey Lists)

Sanctions Screening Process

- ▶ **Real-Time Screening:** At point of onboarding, transactions, payments
- ▶ **Batch Screening:** Periodic re-screening of entire customer database
- ▶ **Name Screening:** Match against names on sanctions lists
- ▶ **Transaction Screening:** Match against sanctions list entries
- ▶ **Blocking:** Must block/restrict transactions with sanctioned entities

OFAC 50% Rule MUST KNOW

If a sanctioned entity owns **50% or more** of another entity, that entity is **also blocked** even if not on SDN list.

External Sanctions Sources CAMS Exam

Which are **external** sources? (Select Two.)

1. **FATF blacklists and UN Security Council lists**
2. **State Department embargo registries**

REMEMBER: Key Rule: Sanctions are **strict liability**. No intent required if you process a transaction with a sanctioned entity, you're liable.

Transaction Monitoring Advanced Concepts

Transaction Monitoring System Components

- ▶ **Data Ingestion:** Collect transaction data from multiple systems
- ▶ **Scenarios/Rules:** Pre-defined rules to detect suspicious patterns
- ▶ **Scoring:** Assign risk scores to transactions/customers
- ▶ **Alert Generation:** Create alerts for suspicious activity
- ▶ **Case Management:** Manage investigation workflow
- ▶ **Reporting:** Generate SARs/STRs

Rules-Based vs AI/ML Monitoring

Factor	Rules-Based	AI/ML
False Positives	High	Lower (with tuning)
Adaptability	Static; requires manual updates	Dynamic; learns from data
Complex Patterns	Limited detection	Advanced pattern detection
Transparency	High (rules are clear)	Lower (black box concern)
Regulatory Acceptance	Well-established	Requires validation

Typical Scenarios (Red Flags)

- ▶ **Structuring:** Multiple small deposits below reporting threshold
- ▶ **Round-Trip Transactions:** Funds leave and return to same account
- ▶ **Rapid Movement:** Funds move quickly through multiple accounts
- ▶ **Unusual Geographic Patterns:** Transactions to high-risk jurisdictions
- ▶ **Mismatched Profile:** Transaction pattern doesn't match KYC profile

REMEMBER: Key Rule: Transaction monitoring is about **detecting unusual activity** not just large transactions.

Gambling AML Complete Overview

Why Gambling is High-Risk for ML

- ▶ **Cash-Intensive:** Large volumes of cash transactions
- ▶ **Anonymity:** Chips can be purchased anonymously
- ▶ **Rapid Movement:** Funds move quickly in/out
- ▶ **Cross-Border:** Online gambling operates globally
- ▶ **Layering:** Chips can be used to layer illicit funds
- ▶ **Integration:** Winnings appear legitimate

Casino AML Controls CAMS Exam Favorite

Which are effective controls? (Select Two.)

1. **Enforcing chip redemption policies tied to minimum gaming thresholds**
2. **Tracking player activity through registered loyalty programs**

Online Gambling Risks

- ▶ **Cryptocurrency:** Used to fund gambling accounts
- ▶ **E-Wallets:** Rapid movement of funds
- ▶ **Multiple Accounts:** Players use multiple accounts
- ▶ **Bonus Abuse:** Using bonuses to launder funds
- ▶ **P2P Transfers:** Players transfer funds between accounts

Countermeasures

- ▶ **CDD:** Identify and verify customers
- ▶ **Transaction Monitoring:** Track deposits, withdrawals, and gameplay
- ▶ **Threshold Reporting:** Report transactions above thresholds
- ▶ **EDD:** Enhanced due diligence for high-risk customers

Asset Manager AML Key Concepts

AML Risks for Asset Managers

- ▶ **Complex Products:** Alternative investments, hedge funds, private equity
- ▶ **Cross-Border:** Multiple jurisdictions and counterparties
- ▶ **High-Value:** Large investments
- ▶ **Anonymity:** Some products can obscure beneficial ownership
- ▶ **Third-Party Assets:** Managing assets for third parties

Red Flags for Asset Managers

- ▶ **Unusual Investment Strategy:** Mismatch with client profile
- ▶ **Unusual Redemptions:** Large, unexpected redemption requests
- ▶ **Circular Trading:** Client buys/sells same asset
- ▶ **Concentration Risk:** Over-concentration in high-risk assets
- ▶ **Source of Funds:** Inability to verify source of funds

Compliance Controls

- ▶ **CDD/EDD:** Identify and verify customers and BOs
- ▶ **Transaction Monitoring:** Monitor all trades and transactions
- ▶ **Sanctions Screening:** Screen against sanctions lists
- ▶ **PEP Screening:** Identify and monitor PEPs
- ▶ **Adverse Media:** Monitor for negative news about clients
- ▶ **Independent Review:** Review by compliance team

REMEMBER: Key Rule: Asset managers are **financial institutions** under FATF and must have comprehensive AML programs.

Fraud & AML Critical Intersection

Fraud as a Predicate Offense

Fraud is a **predicate offense** for money laundering:

- ▶ Proceeds of fraud must be laundered
- ▶ Fraudsters use laundering techniques to hide proceeds
- ▶ AML controls can detect fraud

Fraud Types Relevant to AML

- ▶ **Synthetic Identity Fraud:** Creating fake identities using real/partially real info
- ▶ **Account Takeover:** Criminal takes over legitimate account
- ▶ **Payment Fraud:** Fraudulent payments and transfers
- ▶ **Application Fraud:** Fraudulent loan/credit card applications
- ▶ **Phishing:** Stealing credentials via deceptive emails
- ▶ **Ransomware:** Extorting payments via crypto

Corrective Action for Fraud CAMS Exam

Scenario: New credit product targeted at low-income customers. Firm identifies trend of synthetic identity fraud.

Correct Action: Suspend the product while updating risk assessment and onboarding controls.

REMEMBER: Key Rule: Fraud and AML are **integrated**. AML controls detect fraud, and fraud controls detect AML.

DORA Digital Operational Resilience Act (Complete)

What is DORA?

Regulation (EU) 2022/2554 applies to all financial entities operating in the EU:

- ▶ Banks, investment firms, credit institutions
- ▶ Crypto-asset service providers
- ▶ Third-party ICT providers
- ▶ Payment institutions, e-money institutions
- ▶ Insurance and reinsurance companies

Key Regulatory Expectation CAMS Exam Favorite

Centralizing oversight of ICT risk management across all member-state branches.

DORA Requirements

- ▶ **ICT Risk Governance Framework:** Unified across all EU operations
- ▶ **ICT Risk Assessments:** Identify and assess ICT risks
- ▶ **Incident Reporting:** Report ICT incidents to regulators
- ▶ **Third-Party ICT Provider Risk Management:** Monitor and manage vendor risks
- ▶ **Resilience Testing:** Regular testing of ICT systems
- ▶ **Information Sharing:** Share threat intelligence with peers

EXAM TRAP: Exam Trap: Relying solely on national regulators' cybersecurity requirements is **insufficient**. DORA mandates centralized, pan-European oversight.

Rec 17 Third-Party Reliance for CDD

What is Third-Party Reliance?

Financial institutions may **rely on third parties** to perform CDD (Rec 17):

- ▶ Another financial institution (in same group)
- ▶ Third-party service provider (if regulated)
- ▶ Professional advisor (lawyer, accountant)
- ▶ Trust/company service provider (TCSP)

Conditions for Reliance MUST KNOW

1. Third party must be **subject to FATF-compliant AML/CFT requirements**
2. Third party must **apply CDD requirements** equivalent to Rec 10
3. Third party must **obtain and verify** customer identification
4. Third party must **provide the information promptly** upon request
5. The **ultimate responsibility** remains with the relying institution
6. The relying institution must be **satisfied** that the third party will comply

Critical Exam Points

- ▶ **Liability:** The relying institution remains **fully liable** for CDD
- ▶ **Data Protection:** Must comply with data protection laws (GDPR)
- ▶ **Record-Keeping:** Must maintain records of reliance
- ▶ **Risk-Based:** Can rely for low-risk; may need EDD for high-risk

REMEMBER: Key Rule: You can **rely** on third parties for CDD, but you **cannot outsource responsibility**. You remain liable.

Cross-Border Data Privacy AML Compliance

Key Data Privacy Regulations

- ▶ **GDPR (EU):** General Data Protection Regulation
- ▶ **CCPA (California):** California Consumer Privacy Act
- ▶ **PDPA (Singapore):** Personal Data Protection Act
- ▶ **LGPD (Brazil):** Lei Geral de Proteção de Dados

AML vs Data Privacy Conflict

AML Requirement	Data Privacy Concern
Collect customer data	Data minimization principle
Share with regulators	Data transfer restrictions
Retain records for 5+ years	Storage limitation principle
Share within group	Data sharing restrictions
Screen against watchlists	Processing sensitive data

Correct Approach CAMS Exam

1. **Jurisdiction-Specific Procedures:** Create procedures that comply with local laws
2. **Standard Template with Adjustable Sections:** Core sections consistent; adjustable for local laws
3. **Legal Basis:** Ensure legal basis for processing (e.g., legal obligation)
4. **Data Transfer Mechanisms:** Use SCCs, BCRs, or other transfer mechanisms
5. **Data Protection Impact Assessment:** Conduct DPIA for high-risk processing

REMEMBER: Key Rule: AML compliance **does not override** data privacy. Must comply with both.

Free-Trade Zones (FTZ) AML Vulnerabilities

What are FTZs?

Special economic zones with **reduced customs and regulatory requirements**:

- ▶ Duty-free import/export
- ▶ Reduced inspections
- ▶ Limited customs authority
- ▶ Special tax regimes

FTZ Vulnerabilities CAMS Exam Favorite

Which are typical FTZ vulnerabilities? (Select Two.)

1. **Limited customs authority over transitory goods**
2. **Evasions of customs payments**

FTZ ML Techniques

- ▶ **Mis-Invoicing**: Over/under-invoice goods to move value
- ▶ **Phantom Shipments**: Invoicing for goods that don't exist
- ▶ **Customs Evasion**: Declaring goods for re-export, then selling locally
- ▶ **Shell Companies**: Using FTZ shell companies to hide ownership
- ▶ **Commingling**: Mixing legal and illegal goods

Mitigations

- ▶ **EDD**: Enhanced due diligence for FTZ-related clients
- ▶ **Transaction Monitoring**: Monitor FTZ-related transactions
- ▶ **Document Verification**: Verify shipping and customs documents
- ▶ **Sanctions Screening**: Screen FTZ counterparties against sanctions

TBML Trade-Based Money Laundering

What is TBML?

Trade-Based Money Laundering using international trade to launder money:

- ▶ Mis-invoicing (over/under-invoicing)
- ▶ Phantom shipments
- ▶ Multiple invoicing
- ▶ Over/under-shipment
- ▶ Using shell companies

Key TBML Techniques CAMS Exam

Technique	Description	Beneficiary
Over-Invoicing	Invoice price higher than market	Seller (exporter)
Under-Invoicing	Invoice price lower than market	Buyer (importer)
Phantom Shipment	Invoice for goods not shipped	Both parties
Multiple Invoicing	Multiple invoices for same goods	Seller (exporter)
Over-Shipment	Ship more than invoiced	Buyer (importer)

TBML Red Flags

- ▶ **Pricing:** Significantly above/below market rates
- ▶ **Documentation:** Inconsistencies in shipping documents
- ▶ **Counterparties:** Transactions with high-risk jurisdictions
- ▶ **Routes:** Unusual shipping routes
- ▶ **Payment:** Third-party payments

REMEMBER: Key Rule: Over-invoicing = value to **seller**. Under-invoicing = value to **buyer**.

Structuring (Smurfing) Complete Guide

What is Structuring?

Breaking up large transactions into **smaller amounts** to avoid reporting thresholds.

Thresholds:

- ▶ US: \$10,000 (CTR filing)
- ▶ EU: 10,000 (Cash controls)
- ▶ UK: £10,000 (SAR threshold)

Key Fact CAMS Exam Favorite

Structuring is illegal even if the money is legitimate.

The crime is **evading reporting requirements** not the source of funds.

Structuring Red Flags

- ▶ Multiple small cash deposits just below the reporting threshold
- ▶ Deposits made by different people into the same account
- ▶ Deposits made at different branches/locations
- ▶ Deposits made over several days/weeks
- ▶ Sudden international wire transfer after structuring

Analyst Action CAMS Exam

- ▶ Identify structuring pattern
- ▶ **File SAR** (suspicious activity report)
- ▶ **DO NOT tip off** the customer
- ▶ Escalate to Level 2 for investigation

Layering Money Laundering Stage 2

What is Layering?

Second stage of money laundering **concealing the origin** of illicit funds:

- ▶ Moving funds through multiple accounts
- ▶ Converting funds to different assets
- ▶ Using complex transactions
- ▶ Creating false paper trails
- ▶ Distance from source

Layering Techniques CAMS Exam

- ▶ **Shell Companies:** Transfer funds to shell company with no operations
- ▶ **Private Loans:** Loan to shell company matching criminal proceeds
- ▶ **Multiple Transfers:** Move funds through multiple accounts
- ▶ **Asset Purchases:** Buy assets (art, real estate, crypto)
- ▶ **False Invoices:** Use false invoices to justify transfers
- ▶ **Complex Structures:** Use trusts, offshore companies

Identifying Layering CAMS Exam Favorite

Scenario: Private loan extended to shell company with no operations. Loan amount matches criminal proceeds.

Classification: **Layering tactic** designed to conceal origin of illicit funds.

REMEMBER: Key Rule: Layering = **concealing origin**. Placement = **entering system**. Integration = **using funds legitimately**.

Domain A Critical Exam Tips

Most Common Traps

- ▶ **Rec 15 vs Rec 16:** Rec 15 = VASP framework. Rec 16 = Travel Rule.
- ▶ **Black vs Grey List:** Black = countermeasures. Grey = EDD.
- ▶ **Decentralized vs Centralized:** Decentralized = anonymity. Centralized = KYC.
- ▶ **SOW vs SOF:** SOW = overall wealth. SOF = specific funds.
- ▶ **De-Risking:** Not a substitute for managing risk. FATF discourages blanket de-risking.
- ▶ **Tipping Off:** Never disclose SAR/STR investigation to customer.
- ▶ **Structuring:** Illegal even with clean money.
- ▶ **SDD:** Suspicion overrides must do full CDD if suspicious.
- ▶ **Shell Banks:** Always prohibited.
- ▶ **Rec 17:** Can rely on third parties, but **remain liable**.

Exam Strategy

- ▶ **Read Carefully:** "Select Two" vs "Select Three" vs "Select All"
- ▶ **Eliminate Wrong Answers:** Look for absolute statements (always, never)
- ▶ **Think Risk-Based:** When in doubt, apply the risk-based approach
- ▶ **Document:** Always document your decisions and rationale
- ▶ **Escalate:** When in doubt, escalate to compliance

REMEMBER: Final Rule: Compliance is about **understanding the risk** and applying **proportionate controls**.

Domain A Complete

All Hard Concepts with Detailed Explanations

VASP ð Crypto ð FATF Recommendations ð Black/Grey Lists
Investment Banking ð Wealth Management ð PSP ð OSINT ð KYC
TCSP ð Data Governance ð Post-Acquisition ð Sanctions ð DORA
Transaction Monitoring ð Gambling ð Asset Management ð Fraud
TBML ð Structuring ð Layering ð FTZ ð Third-Party Reliance

All traps explained. All concepts covered. Good luck on your CAMS exam!